SMART MONEY CONCEPT SIMPLIFIED

By:Goitse-Modimo Odirile Mathibe



Chapter: CONFIRMATION & RISK ENTRY POINTS

CONFIRMATION AND RISK ENTRY POINTS.

-This Chapter Is Also About Entry Points But This One It Is More About The Advanced Side Of Entry Points.

-Understanding That Since Well We Have The Wick , Body And 50% Entry Points . Those Are What We Call Entry Points But Then For You To Look For The Correct Entry Point , For You To Say This Entry Point It's Accurate There Are Somethings That You Need.
Which Is What We Call A Risk Entry Point And A Confirmation Entry Point.

-You Need To Be Able To Differentiate Between The Two And Be Able To See That This Orderblock Is Correct And This One It's Not Correct.

-That's Why I Brought Up This Chapter.

WE HAVE WHAT WE CALL A RISK ENTRY POINT AND CONFIRMATION ENTRY POINT.

RISK ENTRY POINT.

-It Occurs When You Take A Trade Without Any Confirmation.

BAD THINGS ABOUT RISK ENTRY POINT.

•It's Easy For The Market To Hit Your Stop Loss.
•It's Difficult For You To Avoid What We Call Demand Hunt And Supply Hunt.
•It's Difficult For You To Know That Which Orderblock Is Accurate And Which One Is Not Accurate.
•And It Has High Risks.

Example Of Risk Entry Point On An Uptrend.



-This Is What Happens , You Can See That We Are On A Bullish Trend We Have A Higher High And A Higher Low .
Market Broke Our Higher High Giving Us A Breakout Of Structure.

-Price Pulls Back To Tap Into Our Orderblock And Once Price Taps Into Our Orderblock Most Traders Have Their Buy Limits On The Wick Entry Point Or Body Entry Point, Depending On Which Entry Point They've Chosen.

-Their Buy Limits Are Within That Level , The Market Taps Them In And Pushes To The Upside.
Since Well Price Triggered Their Buy Limits Market Can Simply Push Up Putting Them In Profits As Shown There.

-I'm Not Gonna Lie Sometimes You Going To Catch Sniper Entries Within That Level . Market Can Trigger Your Buy Limit And Start Moving Same Time.
But Then Sometimes Market Will Tap Into Your Orderblock And Start Playing Around.

-Now Instead Of Taking Such Entry Points My Advice To You Is That Always Wait For Confirmation.
Because What Market Can Do At Times It Is That , It Will Put You In Profits For A While Then Pullback Again To Hit Your Stop Losses , You'll Find Out That The Orderblock You Executed On It's Not The Correct One.

-I Know Yes It Is Nice To Catch Sniper Entries At Some Point But Then At The Same Time Look At It In This Manner ...It Is A Sniper Entry With A High Risk.

Example Of A Risk Entry Point On A Down Trend.



-Same Applies With The Bearish Trend ,With This Structure We Can See That We're Introduced Into A Bearish Trend Because We Have A Lower Low And A Lower High.
Market Broke Our Lower Low To Give Us A Breakout Of Structure.

-Now You Already Know What's Next Price Will Pull Back To Tap Into Our Orderblock.
With This Example Let's Say You Took A Wick Entry Point.

-Like I Said The Market Can Tap You In And Go By Your Direction Same Time . Yes It's Cool But Then Such Entries Comes With Risks.

-Yes You Can Have Those Zero Loss Floating Entries But Then What If The Market Doesn't Go By Your Direction Same Time, And It Ends Up Hitting Your Stop Loss First And Go By Your Direction Afterwards.

-Your Stop Loss Gonna Be Hit With High Risk Because You Took Your Entries Without Confirmation.
-Always When You Want To Take A Trade Wait For Confirmation.

CONFIRMATION ENTRY POINT.

-It Occurs When You Execute Your Trade With A Confirmation Model .

GOOD THINGS ABOUT IT.

•It Has Less Risk.
•It Ables You To Avoid Unnecessary Losses Because Sometimes Market Can Come To Your Orderblock And Break It.
•Easy For You To See Stop Hunts.

•Now We Gonna Come To This Rule That Says No Confirmation No Entry Point .
Some Entry Points Needs Confirmation ,If You Don't Get Confirmation You Don't Take That Trade Because Confirmation Entry Points It Reduces The Odds Of You Taking Losses.

-Sometimes You Gonna Feel Like You're Not A Good Trader , Sometimes Gonna Tell Yourself That Trading It Is Not Meant For You .

-Of Which It Is Not About That It Is The Matter Of Accepting That Okay This Certain Trade Was Never Meant To Be My Trade And This Certain Trade I'm Gonna Take It Because It Has Confirmation And I'm Gonna Execute On It .

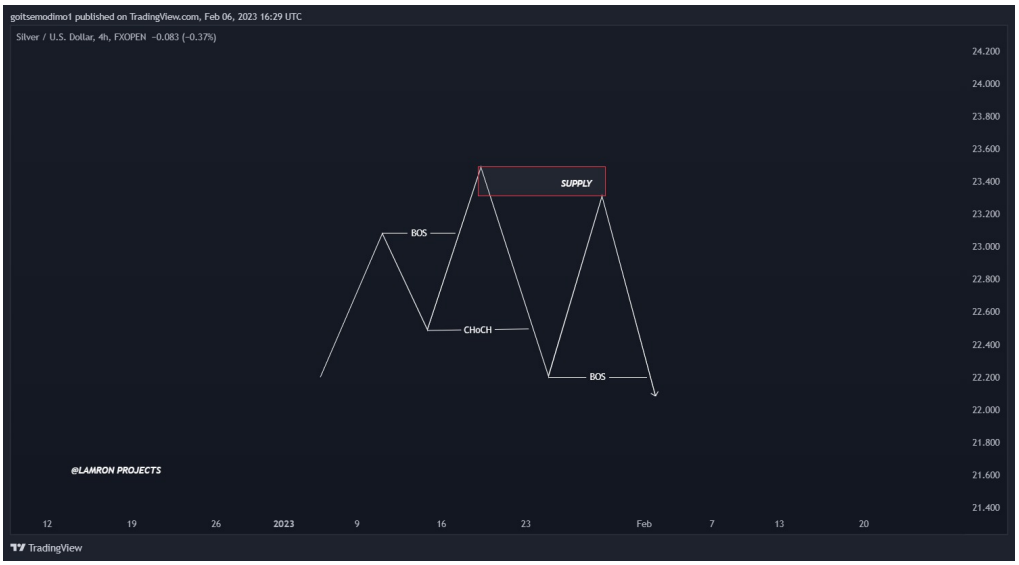
-If You Lose A Trade You Lose A Trade It's Simple Because You Will Lose A Trade With Less Risks Rather Than Losing A Trade With High Risks.

TYPES Of Confirmation Entry Points.

-There Are Two Types Of Confirmation Entry Points You Should Look Forward To Before Taking An Entry.

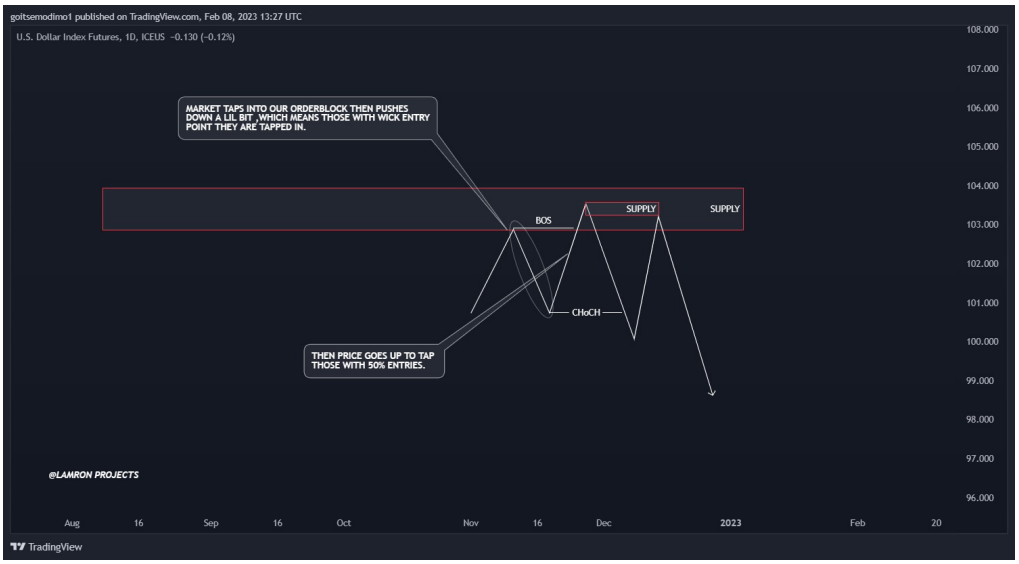
ON A DOWNTREND ORDERBLOCK.

1-First Model.



-What Happens Here Is That Market Will Come Pushing To The Upside (To Your Supply Level And It Will Form A CHoCH Structure That's Pushing To The Downside)

Forexample:

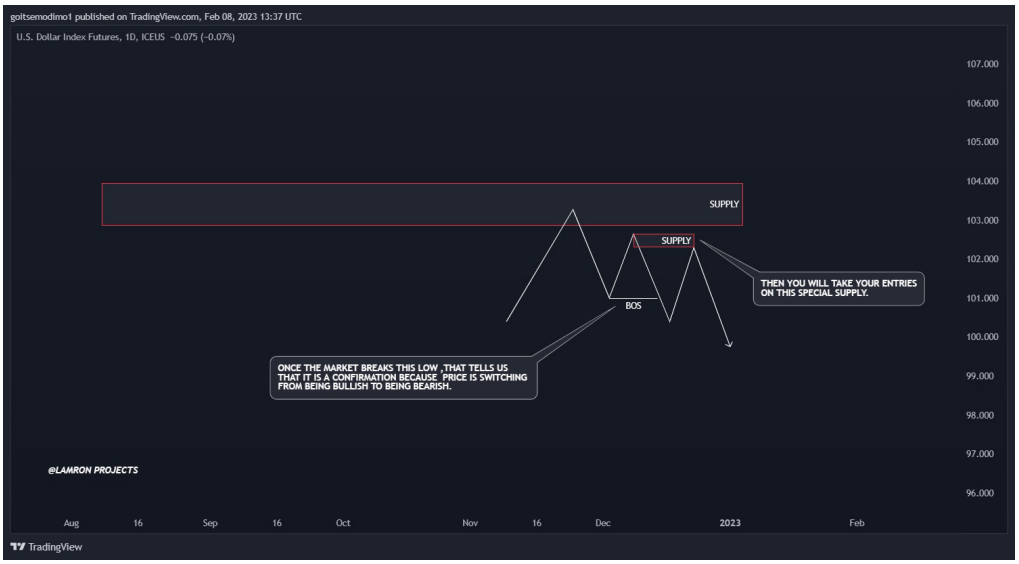


-The Market Gave Us The Properties Of An Uptrend While Approaching Our Supply Level Which Were Higher High and High Low , Price Broke That Higher High And Gave Us A BOS As Shown There But Price Failed To Respect Our High Low And Gave Us A Change Of Character.

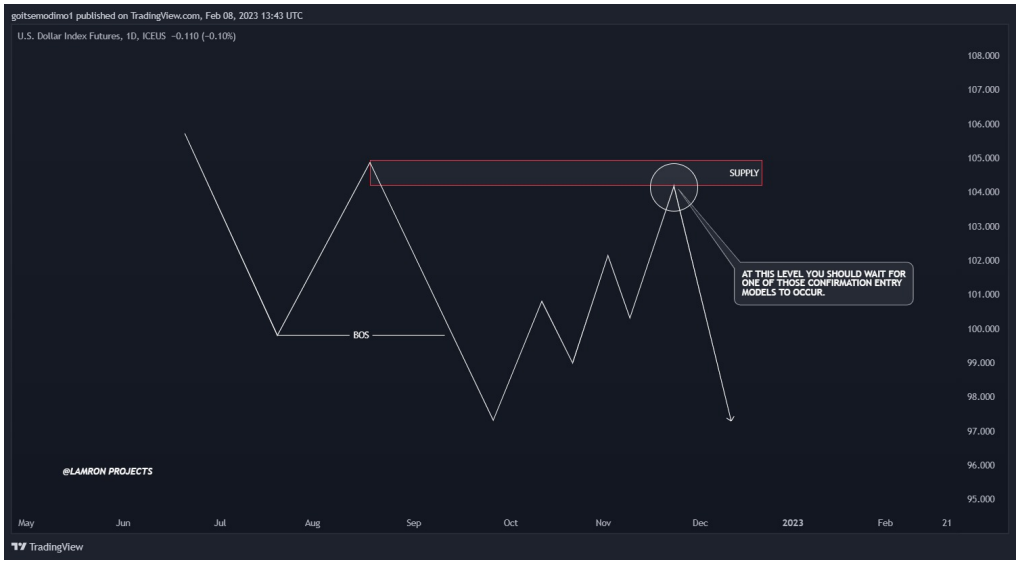
-Once The Market Gives Us A CHoCH Expecting Price To Go To Our Special Supply Then Tap You In After It Will Push To The Downside.

-So This Is What We Call A Confirmation Entry Point And Your Confirmation Entry Point Will Always Be Seen On A Smaller Timeframe From 1second To 15minutes .
You Should Always Look For Your Confirmation Entry Within Those Timeframes.

2-Second Model.



-NOW LET US RAP IT UP ON A MARKET STRUCTURE.

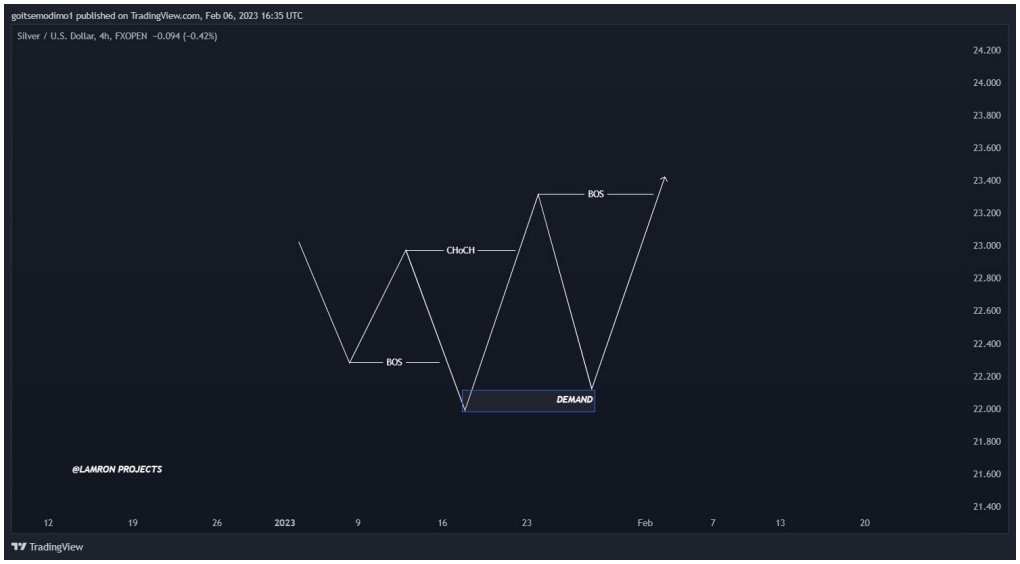


-That's How You Find A Confirmation Entry Point On A Downtrend , Which Means When Price Approaches Your Supply You'll Apply One Of Those Two Models .
-No Confirmation No Entry Point, Because We Reducing The Likes Of Us Being Manipulated.

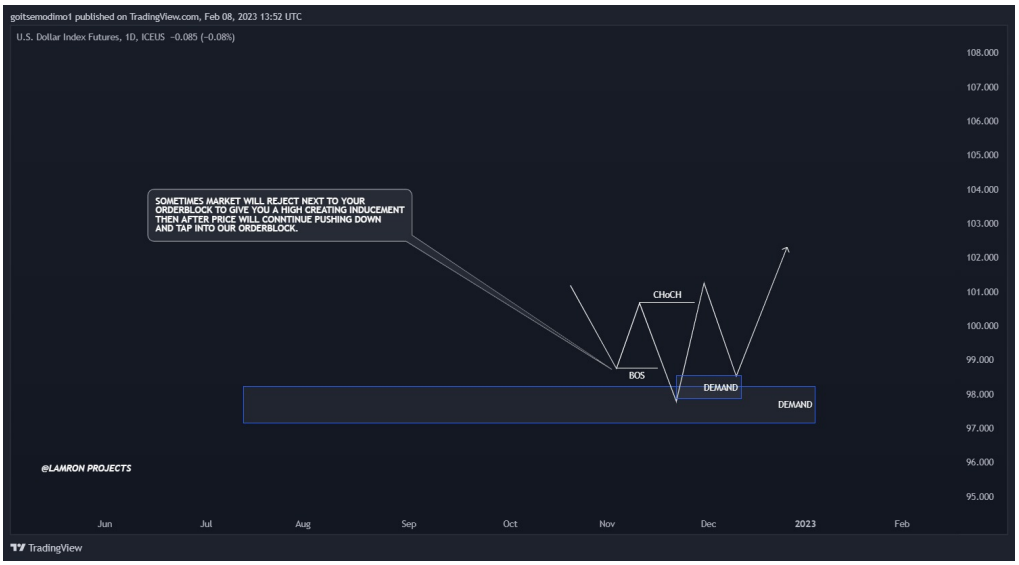
CONFIRMATION ENTRY POINT ON AN UPTREND.

1-First Model.

-Even On An Uptrend We Have The Same Model , Going To Have Those Models



-Here Market Will Come Pushing To The Downside And Once It Gets To Your Point Of Interest, You'll Wait For This Type Of A Model To Form.



-

- -And From That Structure Once The Market Taps Into Your Orderblock It Will Push To The Upside To Create A CHoCH , After CHoCH Is Created We Will Wait For The Market To Tap Us Into Our Special Demand And Start Pushing To The Upside Afterwards.

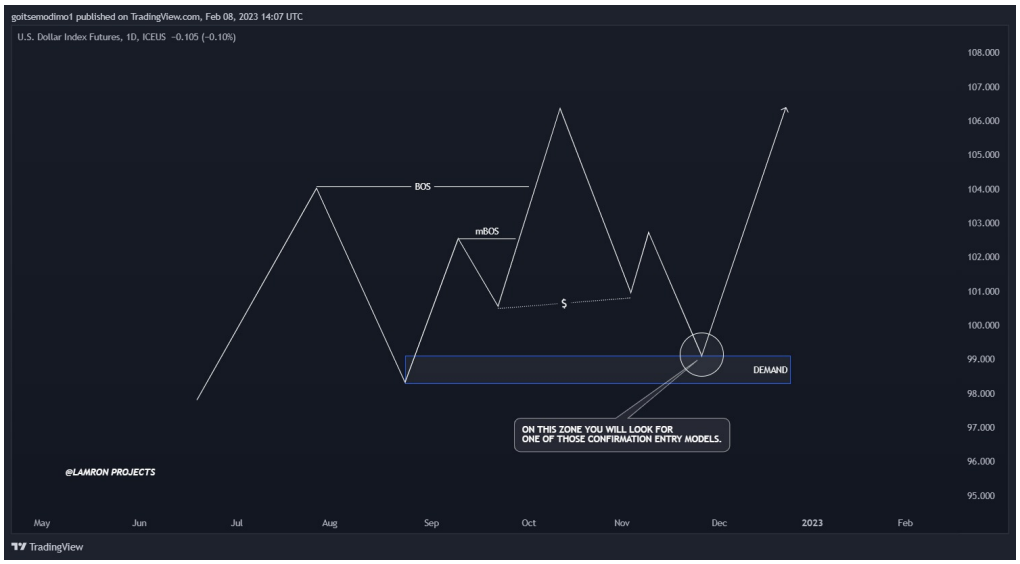
2-Second Model.



-With The Second Model Both On Downtrend And On Uptrend, Main Thing About It Is Understanding The Theory Of Breakout Of Structure.

-With This Model Market Will Be Coming From The Upside Going To Our Demand Level So Once The Market Taps Into Our Demand Structure It Will Then Create An Internal Uptrend.

CONFIRMATION ON A MARKET STRUCTURE.



-Which Means When Price Approaches Your Demand Level You Will Wait For One Of Those Two Models To Form Before You Can Take A Trade.

[That Is How We Go About The Theory Of Confirmation And Risk Entry Point.]

Written By Founder Of Lamron Projects:

GOITSE-MODIMO ODIRILE MATHIBE

Signature:

